

Rule 9: Lead and Manage for the Long Term

Leading a business is a serious, rugged, flaw-ridden, demanding task. Dog-eat-dog competition keeps managers and the members of the workforce on their toes, and the inevitable fluctuations and vicissitudes in an industry's affairs, as well as in the general level of economic activity, often seem to compel painful decisions and trade-offs to meet the exigencies of the day. But leading a business is also thrilling, challenging, and rewarding. The key to the difference, I believe, lies in doing everything possible to focus on long-term opportunities, doing your best to ignore the inevitable short-term difficulties. Scores of times I've reminded our crew: "Once you decide whether you expect to be in business for a short time or a long time, most of the right decisions are easy."

Think about it: The *ephemeral perception* of a business is based largely on images, superficial headlines in the press, the momentary challenges—all of those hiccups and diversions that take our eye off the proverbial ball. The *eternal reality* of a business, in contrast, is its ability to provide good products or services that meet client needs at a fair price. Yes, client perceptions may change as tough times and hard circumstances take their toll. But, over time, with businesses (even as with stock prices), any gap between perception and reality will be reconciled *in favor of reality*.

So a great workforce must be managed as a long-term asset, and anyone who aspires to be a great leader or a great manager must ever keep in mind that long-term perspective. Some guidelines: Avoid layoffs in temporary downturns; beware of excessive stringency in compensation; don't slash benefits to meet short-term budgetary constraints; and never demand that some arbitrary percentage of the workforce must unilaterally be rated unsatisfactory. *Never!* (In the trade, this is called "rank and yank.") If you focus on the long term, you can create the right environment for building a great organization. *Character* is the bedrock of the firm that lasts.

Rule 10: Press On, Regardless